

NARENDRA MODI, CM, Gujarat

"We will protect vendors' interests, but won't make an issue of it for political gains. We would intervene only if it is needed."



SHIVRAJ S. CHOUHAN, CM, Madhya Pradesh

"There are some things that big corporates can't do. We're against corporates like Reliance retailing fruits and vegetables."



SHARAD PAWAR, Union Minister

"States can't close down any establishment on a permanent basis unless there is violation of law."

VOTE BANK ECONOMICS

Giving in to pressure from middlemen and vegetable vendors, states defy all logic and threaten to ban modern retail. The biggest victim of the move will be the farmers. Can the states afford to do that?

■ By Malini Bhupta

Ever since a Reliance Fresh outlet has opened next to her house in Pune, Kavita Ghosh, a 35-year-old housewife, has been buying her groceries and vegetables from there rather than the vendor down the road. Her reasoning: "The store sells fresh fruits and veggies cheaper than the pavement vendor." In fact, the vendors charge more even though they do not pay taxes, rentals, electricity charges or employee salaries. Obviously, it is the economies of scale and organised sourcing and selling which deliver value for money.

However, political parties and politicians across the country seem to believe that discounts to consumers are coming at the cost of their vote banks—there is a belief that the big retailer will render the small vendor out of business and the politician out of power. Even if some are in dissent till

the jury is out, the expedient thing politicians have learnt is to ban whatever threatens their relevance. So the consumer's romance with clean and cheap shopping is threatened with ad hoc and arbitrary knee jerk reactions across the states. There is a virtual war out there on organised retailers selling farm products.

Last week, the Uttar Pradesh Government ordered the closure of the Reliance Fresh outlets in Varanasi and Lucknow—citing law and order worries after vendor-backed protesters vandalised the shops—till a fact-finding committee submitted its report on the issue. In panic, the Mayawati Government has also scrapped its agriculture policy which had factored in corporate farming. She has constituted a high-level committee headed by Cabinet Secretary Shashank Shekhar Singh to review all the aspects of such stores and report to the Government within one month.



It all started three months ago, when Kerala Chief Minister V.S. Achuthanandan threatened to ban the retailers which were threatening the livelihoods of those in the unorganised sector. Such vendor-led outbursts have hit other states like Jharkhand, West Bengal and Gujarat too.

Interestingly, the Centre and the state governments are not united on the subject. The Central Government's endorsement of organised retailing came on August 29 when Agriculture and Consumer Affairs Minister Sharad Pawar made it clear that states "cannot